

Multiple Choice (10 marks)

1. In a command economy
 - (a) the market dictates the answers to the fundamental economic questions.
 - (b) competition helps answer the fundamental economic questions.
 - (c) state and local governments respond to the fundamental economic questions.
 - (d) the central government dictates the answers to the fundamental economic questions.
2. When the production or consumption of a good creates a positive externality, it is deemed a market failure because at the market quantity
 - (a) the marginal social benefit exceeds the marginal social cost.
 - (b) the marginal social cost exceeds the marginal social benefit.
 - (c) society produces too much of the good.
 - (d) the private benefits from consuming the good exceed the social benefits.
3. In order to reduce or eliminate crowding out expansionary fiscal policy can be accompanied by
 - (a) an increase in government spending
 - (b) a decrease in investment
 - (c) expansionary monetary policy
 - (d) contractionary monetary policy
4. Which of the following is true for a firm operating under perfect competition in the long run?
 - (a) The firm will engage in non-price competition.
 - (b) The firm will realize economic profits.
 - (c) The firm will incur economic losses.
 - (d) The firm will realize zero economic profits.
5. When the United States places an import quota on imported sugar we expect which of the following effects?
 - (a) Consumers seek substitutes for sugar and products that use sugar.
 - (b) Consumers consume more sugar and products that use sugar.
 - (c) The supply of sugar increases.
 - (d) Net exports in the United States fall.

True / False (10 marks)

Answer True or False

6. True or False: If prices are expected to rise more slowly in the future, those expectations can lead to actual price stability.
7. True or False: The nominal interest rate equals the real interest rate plus the inflation rate.
8. True or False: Prices in capitalist economies are determined by the forces of supply and demand.
9. True or False: Frictional unemployment occurs when workers are temporarily between jobs, making a zero unemployment rate unlikely.
10. True or False: Scarcity is defined as the difference between limited wants and limited economic resources.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how an increase in the construction of new houses can impact the demand for housepainters in a competitive labor market. What economic factors contribute to this change?
12. Discuss how a bank's excess reserves impact its ability to provide loans, and analyze the potential effects on the economy when banks increase lending.

End of Paper